

PITCH — TTWO — ADJUDICATED

RULING (2026-09-01, Fable full-court adjudication under principal mandate — prize table + IV checks + social heat): NO ENTRY at \$217. Band $\leq$ \$195, 0.4% pre-authorized — but ONLY on a non-slip touch (a delay-driven touch re-courts, never auto-buys). $\leq$ \$185 second look.

The frozen prize table (all anchors stated):

Scenario	P	Price path	Anchor
On-time + blowout	0.35	\$270–300	FY28 revision math; BofA \$368 bull
On-time + in-line	0.39	\$235–260	consensus \$287 $\approx$ priced
Slip within FY27	0.12	\$185–200	bookings shift, terminal intact
Slip past FY27	0.05	\$150–170	full-year model reset
Technical disaster	0.04	\$165–185	CDPR launch analog

EV $\approx$ \$234 = +7.8% vs tape — below hurdle. A successful launch is already capitalized (20–24x plausible FY28 at the bond floor). The band at $\leq$ \$195 is where the same table clears +20%.

The IV check (run live, three benches couldn't): Nov 20 expiry — one day past launch — carries 48.6% IV vs October's 39.1%: a +9.5-point event bump implying $\pm$ 13.7%, against our probability-weighted |move| of $\sim$ 19%. Event vol is *fairly priced, slightly cheap* — but not cheap enough after this week's WYNN lesson (that trade class lost \$3.2k with a better setup).

Instrument ruling: stock at the band; no premium structures. Positioning is call-tilted but no levered wrappers exist — crowded-long, not meme-wrapped.

The heat panel (pre-registered, read Mondays into 11/19): five series baselined (reddit velocity — currently absent from top pages; r/GTA6; Google Trends; preorder ranks; Extended-Look views). Two mechanical hooks only: $\geq$ 2 series decelerating $\geq$ 40% for 2 weeks $\rightarrow$ spoiler-damage tail live, fills void, band tightens to $\leq$ \$185; heat intact through Nov 1 $\rightarrow$ blowout probability +0.05, band loosens to $\leq$ \$200.

Frozen forecasts: $P(\text{ships on/before Nov 19}) = 0.78 \cdot P(\text{first-window } \geq 40\text{M units}) = 0.45$. **Sizing input sustained:** Zelnick's \$10.1M Aug-10 sale carries **no 10b5-1 checkbox** on the Form 4.

Cause-check finding that started it all: there was no leak event — the 8/31 slide was rout beta plus coverage recycling the 8/7 impairment as if new (now a cataloged detector: date every cited cause).

The bench pitch below is preserved as written (pre-adjudication).

What we believe

Take-Two is eleven weeks from shipping Grand Theft Auto VI (November 19, 2026). On August 18 a large batch of story material leaked; Rockstar effectively authenticated it by responding, and the stock has since fallen to \$217.52 — about 18% below its 52-week high of \$265.94, though still 16% above its 52-week low of \$187.63.

Our starting belief was that a story leak damages the *experience* of the launch, not the *cash* the franchise produces over the next decade — the 2022 Rockstar hack is the precedent, and demand was undented. We still think that is more likely right than wrong.

What we no longer believe is that this observation is a trade. After both benches, here is the honest version of what we believe:

- The leak probably did little to the money. We cannot prove it, because the company has not made a single financial statement since the leak happened.
- Even if we could prove it, the amount of money at stake in the leak/delay debate is small relative to what this company is worth. Both benches agreed the launch year is roughly \$1.0–1.4 billion of incremental bookings against an enterprise value near \$41.7 billion.
- The thing that actually determines whether \$217.52 is cheap is the *annuity* — what GTA Online earns in fiscal 2028 and beyond. **Neither of our benches valued it.** That is the whole gap, and it is our own failure, not the market's.

So the belief is: “probably undamaged, possibly cheap, and we have not done the arithmetic that would tell us which.”

What the market believes

The market believes the November 19 launch happens and works. You can read that directly off the numbers:

- Company guidance for FY27 (issued August 7): net bookings \$8.0–8.2bn, GAAP revenue \$7.90–8.10bn, GAAP EPS \$0.55–0.75, operating cash flow “over \$1,000M” — Q1 FY27 8-K exhibit, SEC EDGAR.
- Analyst consensus sits *above* the company: ~\$8.51–8.52bn FY27 revenue and \$6.87 FY27 EPS (stockanalysis / S&P Global).
- At \$217.52 that is roughly 31.7x next-year earnings, on about 186.2 million shares, a \$40.5bn market value and roughly \$41.7bn enterprise value after \$1.15bn of net debt.
- The average analyst price target is \$286.89 across 29 analysts — about 32% above the current price.

So the market is not panicking. It is paying a growth multiple for a launch it expects to succeed, and it has marked the stock down about 18% from the high for some mixture of leak worry and a broader repricing of long-duration, high-multiple stocks. This is one of the most-covered names in the market. There is no crowd of forced sellers and no obvious information the street lacks.

Why we might have edge

Being straight: the edge case is thin, and three of the four legs we started with did not survive.

What is left that is genuinely ours:

1. **Timing/behavioral, not informational.** Well-known leaks in entertainment franchises historically move sentiment more than revenue. If the market is discounting the annuity because of a story spoiler, that is a mispricing we understand. But this is an edge in *interpretation*, not in facts — everyone has the same facts.
2. **The CEO's August sale is genuinely informative and under-discussed.** Strauss Zelnick sold 40,000 shares at \$250.16–255.33 on August 10 (~\$10.1M), plus two 10,000-share gifts. We checked the filing itself: it carries **no Rule 10b5-1 checkbox or footnote** — [Form 4, SEC EDGAR](#). That is a discretionary sale, eight days before the leak, 15% above today's price. That is a *negative* for us, and we count it as edge only in the sense that we bothered to open the document.
3. **The instrument question is unrun and could be real.** Into a hard, dated event, the interesting expression may be options rather than stock — if November-cycle implied volatility is cheap relative to what a launch actually delivers. We have been unable to check this for three consecutive passes because our broker connection denies us the options-search permission. This is the only check either bench thinks could flip the verdict, and it is blocked by our own plumbing.

Why it might be priced in

This is the stronger side of the argument, and we should say so.

- **The launch is already capitalized.** At ~32x forward earnings on a company whose entire near-term story is one game shipping in November, today's price already assumes a successful ship *and* the recurring-spending annuity that follows it. Proving the leak did no harm to about 3% of enterprise value does not defend that multiple.
- **There is no price dislocation.** Down 18% from the high but up 16% from the low is the middle of the range. Nothing mechanical is forcing anyone to sell. There is no entry trigger on the tape.
- **The company's own numbers are stale.** The FY27 guidance was issued August 7. The leak began August 18. There has been **no financial reaffirmation since** — the only post-leak company communication is Rockstar's August 26 newswire restating the *date*. So “guidance holds” is an assumption we are making on the company's behalf, not something we observed.
- **Consensus is above guidance.** Street sits at roughly \$8.51bn against an \$8.0–8.2bn bookings guide. Any spoiler damage lands in that gap first, and would never show up in the guidance number we were using to argue nothing was damaged.
- **The August 31 drop had causes.** It was not an unexplained air pocket. Contemporaneous coverage attributes it to both the leaks and to rate/bond-market concerns ([Motley Fool, 8/31](#)). Our original claim that there was “no new information” is simply wrong.
- **The last quarter was a real miss on the reported line.** Q1 FY27 GAAP EPS was –\$0.18 against \$0.33 expected. Bookings beat, and for a deferral-accounting company bookings are the right operating measure — but the miss is a pre-existing overhang the market is carrying.

What could go wrong

Failure narrative 1 — We are right about the game and lose money anyway (multiple compression). Nothing breaks. GTA VI ships November 19, sells enormously, and the stock still falls, because a 32x-forward, long-duration stock re-rates when the rate outlook moves against it. The August 31 drop already contained a rate component. This is the single most likely way this loses. *Tripwire: monitorable* — long-rate moves, and TTWO's excess decline on days when the broader high-multiple growth complex falls. We can watch this. We are not currently watching it (see ARMED SENSORS).

Failure narrative 2 — The date slips. A November 19 launch this large depends entirely on internal quality-assurance state — how many bugs are open, how the console certification passes are going, whether the leak forces content rework. A slip to spring pushes an entire fiscal year of bookings and, more damagingly, resets the market's confidence in the annuity's timing. *Tripwire: partial* — a delay would come as an 8-K or a Rockstar newswire, but by then the move has happened. We have no leading indicator, and both benches confirmed that studio QA capacity is not disclosed and is unreachable by any external tool we have.

Failure narrative 3 — The one with no tripwire at all: reception. The game ships on time, sells its opening window, and then *disappoints* — the recurring-spending engine that is the actual asset underperforms because the game is merely good rather than generational, or because the leaked story materially dulled engagement. There is no filing, no price gate, no data feed, and no vendor series that tells us this before it is in the tape. Player-count and review data arrive after the market has already repriced. **Unknown-unknown class: creative-product reception risk — unobservable-until-realized.** The state variable (whether the product is beloved) exists only inside a private organization until launch day, and then only inside millions of players' behavior. It is not a disclosure problem we can solve with better fetching; it is structurally unmeasurable in advance. A related member of the same class is live now: Rockstar's subpoenas to Microsoft and Discord are an *open* legal discovery process with an unknown information-release schedule, and the collapse of the \$CYBERLEEK token by ~86% has restored the financial incentive for a second leak at zero marginal cost to whoever did the first one.

The reflexive and structural leg.

- *Our size is not the problem.* TTWO trades on the order of \$500M of notional per day (our ADV figure is unverified — we could not query the broker). A 1% position on any book we run is a low-six-figure order, well under 0.05% of a day's volume. We move nothing and we can exit in minutes. There is no self-inflicted flow risk here, and unlike our small-cap work, no “don't bid into your own predicted flow” problem.
- *The real reflexivity is internal.* Three doctrine interactions bite:
 1. We have a standing rule that a clean court with no named reason to stay flat defaults to a small starter. That rule is designed to stop us from doing nothing forever. Here it would push us into a name where we have not computed a value — the rule would be *working as designed and still wrong*, because the missing valuation **is** the named reason to stay flat.
 2. Our attention/crowding rule says a heavily-covered name sizes down rather than being rejected. Correct — but “size down” invites a token position that costs attention and teaches us nothing.

3. Our broker permission gap has now blocked the same options check three passes running. If we let that keep happening, we will eventually take the stock position *because* we cannot price the option, which is decision-making by plumbing failure.

- *Consecutive-pass risk*. This is the third court on this name that ends “we still have not computed the number.” Each pass burns a day of decay against a fixed November 19 date. Deciding not to decide is itself a position with a clock on it.

If this position loses money, the most likely reason will be multiple compression on a well-owned, rate-sensitive, richly-valued name whose fiscal-2028 annuity we never actually valued — not anything the leak did to fiscal-2027 bookings.

What we checked ourselves

Claim	How checked	Found	Confirmed?
FY27 guidance survived the leak	Compared 8-K date to leak date; searched EDGAR for any post-leak company financial statement	Guide issued 8/7 ; leak began 8/18 . Only post-leak company communication is Rockstar’s 8/26 date newswire. No reaffirmation exists.	NO — our original brief was wrong. It listed the guide as “reiterated” and treated it as leak-tested. It is untested.
The 8/31 –6.7% move had no identifiable cause	Read contemporaneous coverage; checked index moves same day (S&P –0.5%, Nasdaq –0.4%)	Coverage names two causes: the leaks <i>and</i> rate/bond-market concerns.	NO — our brief was wrong. “No new press release” is not “no new information.”
Guidance is the right yardstick for leak damage	Pulled street consensus	Consensus (~\$8.51bn) sits above the guide (\$8.0–8.2bn). Damage lands in that gap before it ever touches guidance.	YES — the yardstick we chose could not have registered the damage.
The stock is at 336x earnings and 42x cash flow	Red bench computed off GAAP guided EPS \$0.55–0.75	Our own red bench erred. GAAP EPS is meaningless in a deferral year — the same quarter showed GAAP EPS –\$0.18 alongside a bookings <i>beat</i> . Street FY27 EPS is \$6.87 → 31.7x , not 336x. Also “over \$1,000M” OCF is a floor, not a point estimate.	NO — bench error, corrected. Direction (expensive) survives; magnitude was off ~10x.
Consensus/guide gap is \$0.9–1.1bn	Red used a TIKR blog figure (\$9.10bn); blue pulled S&P Global and Benzinga	Our own red bench erred. Real gap is ~\$0.31–0.51bn.	PARTIAL — halved.
Leak damage is “3% of enterprise value, a	Blue cross-checked against red’s own	Our own red bench contradicted itself. If the	NO — overturned as framed.

Claim	How checked	Found	Confirmed?
rounding error”	valuation argument	price capitalizes the FY28+ annuity, damage is a confidence-and-duration shock to that annuity, not an FY27 bookings line. Red sized the damage on the year it had just argued was irrelevant.	
Mobile business is eroding (Toon Blast review scores)	App-review velocity detector	Our own bench over-read it. A –1.03 recent-vs-lifetime delta at 9.9 reviews/day on a nine-year-old title is the detector’s normal baseline, not an inversion. The real issue is that the two <i>named</i> FY27 drivers (Match Factory!, Color Block Jam) are unresolved — a coverage gap, not a finding.	NO — downgraded to a gap.
Reported revenue is flat (+1.7%)	Compared Q1 FY27 GAAP revenue to prior-year XBRL	Our own bench erred. GAAP revenue is the deferral-smoothed series in a pre-launch year; the operating base is bookings, which beat.	NO — accounting artifact.
CEO sale was routine / pre-scheduled	Opened the actual Form 4 XML	40,000 shares at \$250.16–255.33 on 8/10 (~\$10.1M), plus two 10,000-share gifts, no 10b5-1 checkbox or footnote → discretionary.	YES — and it strengthened the bear case.
FY26 net bookings base (\$6.75bn assumed)	Company FY26 results release	Actual \$6.72bn.	YES — assumption good.
Tape is dislocated	Broker snapshot	Down 18.2% from high, up 15.9% from low. Middle of the range. No forced-seller mechanic.	NO — no entry trigger exists.
Options positioning / November event volatility	Broker options search	Permission denied — three passes running.	UNCHECKED.
Our detector coverage was complete	Blue audited red’s detector list	Our own red bench’s filing was defective: it omitted four dispatched checks and listed four	NO — process defect, no substantive impact.

Claim	How checked	Found	Confirmed?
		that were never dispatched. All eight resolve to “not applicable,” so no finding was lost — but the filing was wrong.	
A fair value for the FY28+ annuity	—	Neither bench computed one. This is the load-bearing gap and it is entirely ours.	NO.

PROPOSED ENTRY BANDS

The courts say no entry. Size today = 0%. No order is proposed. These are the conditions under which we would reopen.

Reopen requires all three of these, and they are gates, not preferences:

1. **Compute a fair value.** Build the FY28–FY30 recurring-spending model for GTA Online and put our number beside the street’s, with a named mechanism for any gap. Red’s stated bar for changing its mind: the fair value must show **more than 25% upside** at the price we would pay. Against the street’s \$286.89 target, that bar implies a maximum entry price of **\$229.51** — above that price, no entry at any level until the model exists.
2. **Price the instrument.** Get the November-cycle implied volatility against realized. This requires fixing the broker options permission. If event volatility is cheap, the right expression is almost certainly an option, not stock — and that changes the verdict on its own.
3. **Watch the consensus, not the guidance.** If FY27 consensus revenue holds at or above **\$8.40bn** (i.e., less than ~1.5% cut from the current \$8.51bn) after the August 31 selloff, the damage question is answered on the market’s own number rather than on stale company guidance.

Price levels, if and only if the three gates clear:

Level	What it is	Action
\$229.51	Red bench’s 25%-upside bar against the \$286.89 street target	Ceiling. No entry above this at any time.
\$199.46	25% below the 52-week high of \$265.94 — the first level that is a genuine range break rather than mid-range noise	First tranche: 0.5% of book
\$187.63	52-week low retest	Second tranche: +0.5% of book
Maximum	Heavily-covered, richly-valued, single-catalyst name	1.5% of book, hard cap

Trim/exit discipline if we ever own it: this is an event trade with a dated resolution. Any position taken before November 19 has a decision point *at* November 19 — we do not let a launch trade quietly become a long-term hold by inattention. Trim rule to be written at staging, not now.

Catalyst dates:

- **November 19, 2026 — GTA VI launch.** This appears in the company's own vetted 8-K exhibit and in Rockstar's August 26 newswire. This is the binding event, not the earnings print.
- **November 9, 2026 (approximate) — Q2 FY27 earnings. Unconfirmed** — derived from a data vendor. The company has not announced it. Roughly 48 trading days out.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 187.63 (deck-provisional: 52-week low retest; second 0.5% tranche, 1.5% of book hard cap.)
- filing watch: 8-K until 2027-02-28 (deck-provisional: Any change to the November 19 GTA VI launch date, or a post-leak reaffirmation/revision of FY27 guidan)
- dated pack TTWO|2026-11-19: TTWO: GTA VI launch — the binding catalyst; appears in the company's vetted 8-K exhibit and Rockstar's 8/26 newswire. (date confirmed=True)
- dated pack TTWO|2026-11-09: TTWO: Q2 FY27 earnings print — first opportunity for a post-leak company financial statement. (date confirmed=False)

What remains unverified

- **A fair value for Take-Two.** The central number. Not computed by either bench. FY28 street bookings and EPS are behind a paywall and were not obtained.
 - **Whether guidance survived the leak.** No company financial statement exists after August 18.
 - **November-cycle implied volatility versus realized.** Broker permission denied, three passes.
 - **What actually drove August 31.** Both leak and rate causes are cited; we could not separate them because intraday reconstruction needs the same denied broker access. Our brief's "no cause" claim is dead; red's "clean news event" claim is also unproven.
 - **The November 9 earnings date.** Vendor-derived, unconfirmed by the company.
 - **Studio quality-assurance capacity and delay risk.** Not disclosed; unreachable by any external tool. Reportable structural blind spot.
 - **App-review velocity for Match Factory! and Color Block Jam.**
 - **Platform take-rate concentration** (Sony/Microsoft/Apple/Google). Needs the 10-K concentration note, not pulled.
 - **Probability of a second leak.** The token collapse restores the incentive; we cannot put a number on it.
 - **Average daily volume.** Estimated at roughly \$500M notional from memory, not queried. Immaterial to sizing at our scale, but stated as unverified rather than assumed.
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